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How to Trade Chart Patterns

This book will help you identify dozens of chart pattern types. It will also do what no other book does: tell you how chart patterns have performed, over three decades, using statistics from hundreds or even thousands of samples.

That's not enough. That information won't make you a successful trader, but it will give you an edge over other traders. What's missing?

Experience.

If you have enough experience trading stocks, you should be able to look at a chart and determine whether it's time to buy, sell, or stay in cash. That's not as difficult as it seems.

When you look at a chart, look for a bullish chart pattern, such as a double bottom. If you find one that confirms as a valid chart pattern, then it's time to buy.

A confirmed double *top* means it's time to sell. If you do nothing else except trade those two chart patterns, you could make money. Buy when a double bottom appears (or any bullish pattern) and sell when a double top confirms (or any bearish chart pattern). The ride between those two might be bumpy, so you'll need to know how to use a stop-loss order.

Add bells and whistles—such as making sure the market is trending upward and the industry to which the stock belongs is also trending upward—and you'll have a smoother ride. Having both of those on your side increases your chance of a successful trade. Complete the picture with a bullish stock aching to rise, and you're good to go. I'll discuss this setup later in this chapter.

Let me share with you a few ideas on how I make my trading choices. I'll tell you about a few swing trading setups that work and then discuss the winners of performance contests.